> Reserve. The old bond trader joke turned out to be true: If the Fed can't model something, it assumes it doesn't exist.

We don't live in objective reality; in truth, we function in a model of our own construction. Our brains generate mental outlines, continually filling in missing information to form a picture that we can discern and identify. It is a useful evolutionary trait. We are delicious, easy-to-catch prey, and to survive in a hungry, hostile world, we rely on the mental models of the world our big brains create.

What happens when we fail to recognize how error prone economic models can be? We pay way too much attention to them. We dig into the recession forecasting problem next…

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150 JVL, "The Numbers," The Triad.

151

Barry Ritholtz, "Why Economists Missed the Crises," The Big Picture (January 5, 2009).

152 Barry Ritholtz, "Unintended Consequences, Part II: What if LTCM Was Not Rescued in 1998?" The Big Picture (April 17, 2020).